

We know that the company does not directly benefit from Capitalised Expenditure. Normal Assets are something that can be amortized over a period of time. Ideally, the major amount should be in Exclusivity. However, it is important to understand the items included within these types of Intangible Assets and also how the share of each is evolving over time.



Capitalised expenditure



As seen, the highest amount of Intangible Assets lies in Exclusivity related asset, which is a good sign for the company and benefits the company.

Analyzing the trend of the last two years, we see that there has been a significant jump in both Exclusivity and Capitalised Expenditure. The main reason for this is the acquisition of another company.

Identify the identifiable and unidentifiable intangibles. Calculate Fair value of identifiables for analysis

Look for Intangible not mentioned in the balance sheet and how important they are for the business. E.g Brand

Next, we need to understand how much business comes due to the Intangibles and how important they are for the business.

Are the Intangibles just an accounting entry, or does the company really benefit from these?

